

Questions guide

(Part 2 only - Public loans, State budget)

First: Public Loans:

True or False

1. Tax revenues are considered one of the most important components of public revenues. ()
2. The state resorts to public loans only when public revenues increase. ()
3. Public loans are considered a temporary source of financing. ()
4. Public loans can be considered a permanent component of public revenues. ()
5. Public loans are defined as a financial contract between the state and the lender. ()
6. The executive authority cannot contract public loans without the approval of the legislative authority. ()
7. Article 127 of the Egyptian Constitution requires the approval of the House of Representatives for public loans. ()
8. A public loan is considered, in some cases, an administrative contract. ()
9. External loans may be regulated by international laws. ()
10. The state can borrow from both public and private legal entities. ()
11. Public loans are always in cash only. ()
12. In-kind loans refer to obtaining products or equipment instead of money. ()
13. Public loans enter the state treasury on a temporary basis. ()
14. Public loans do not involve interest payments to the lender. ()
15. Public loans appear on both the revenue and expenditure sides of the general budget. ()
16. Real loans result from individuals voluntarily giving up part of their purchasing power to the state. ()
17. False (bank-created) loans result from borrowing from the central bank. ()
18. Voluntary loans depend on coercion and pressure on individuals. ()
19. Compulsory loans are similar to taxes in terms of coercion. ()
20. One reason for resorting to compulsory loans is to combat inflation. ()
21. Domestic loans are obtained from residents within the country. ()
22. External loans are obtained from foreign or international entities. ()
23. The International Monetary Fund is one of the institutions that provides external loans to countries. ()
24. Sustainable loans require repayment at a fixed date. ()

25. Short-term loans do not exceed one year in repayment period. ()
26. Treasury bills are commonly used in short-term loans. ()
27. Registered bonds do not include the name of the bondholder. ()
28. Bearer bonds are transferred by simple delivery. ()
29. Mixed bonds are registered for the principal amount and bearer bonds for interest payments. ()

Multiple Choice Questions

1. The state resorts to public loans when:
A- Public revenues increase
B- Public expenditures decrease
C- Public revenues are insufficient to cover expenditures
D- The budget records a surplus
2. A public loan is:
A- A compulsory tax
B- A financial contract between the state and the lender
C- A free international grant
D- A government fee
3. The authority responsible for approving public loans is:
A- The judicial authority
B- The central bank
C- The legislative authority
D- The Ministry of Trade
4. The constitutional article regulating parliamentary approval of loans in Egypt is:
A- Article 100
B- Article 127
C- Article 150
D- Article 200
5. A loan obtained by the state from the central bank is called:
A- A real loan
B- An external loan
C- A false (fictitious) loan
D- A voluntary loan
6. Voluntary loans depend on:
A- Coercion
B- Consent and willingness
C- Taxes
D- Punishments
7. One reason for resorting to compulsory loans is:
A- Falling prices
B- Increased savings

- C- Combating inflation
 - D- Reducing public revenues
8. Domestic loans are obtained from:
- A- Foreign governments
 - B- International institutions
 - C- Residents within the country
 - D- Foreign banks only
9. An example of an external lending institution is:
- A- Local insurance companies
 - B- The International Monetary Fund
 - C- Individuals within the country
 - D- Local banks only
10. A loan that the state is not required to repay at a fixed date is called:
- A- Short-term loan
 - B- Medium-term loan
 - C- Sustainable loan
 - D- Temporary loan
11. Short-term loans have a repayment period of:
- A- Less than one year
 - B- One year or less
 - C- From one to five years
 - D- More than five years
12. Treasury bills are commonly used in:
- A- Long-term loans
 - B- External loans
 - C- Short-term loans
 - D- Sustainable loans
13. A bond that includes the name of its owner is called:
- A- Bearer bond
 - B- Mixed bond
 - C- Registered bond
 - D- International bond
14. Bearer bonds are characterized by:
- A- Recording the owner's name
 - B- Transfer of ownership upon delivery
 - C- No interest payments
 - D- Non-tradability
15. Methods of issuing public loans include:
- A- Public subscription
 - B- Bank subscription
 - C- Stock exchange issuance
 - D- All of the above
16. One advantage of public subscription is:
- A- High bank commissions

- B- Saving intermediary commissions
 - C- Higher borrowing cost
 - D- Increased taxes
17. One disadvantage of bank subscription is:
- A- Low banking expertise
 - B- State does not receive the loan
 - C- High commissions charged by banks
 - D- Difficulty in selling bonds
18. Stock exchange issuance is characterized by:
- A- Ease of practical application
 - B- Preventing bond trading
 - C- No benefit from price changes
 - D- Direct increase in inflation
19. Public loans are considered a tool of:
- A- Agricultural policy
 - B- Educational policy
 - C- Economic financial policy
 - D- Judicial policy
20. Public loans appear in the general budget:
- A- On the revenue side only
 - B- On the expenditure side only
 - C- On both revenue and expenditure sides
 - D- Outside the budget
21. This is the type of loan that results from the voluntary relinquishment by some individuals or economic units in society of part of their purchasing power to the public sector in return for receiving the principal amount of the loan and its interest when due:
- A- Real public loans
 - B- False public loans
 - C- Sustainable public loan
 - D- Temporary public loan
 - E- A and D
22. The banking system creates new purchasing power that did not exist before and transfers it to the state without any deduction from the current incomes and wealth of economic units in society:
- A- External public loans
 - B- False public loans
 - C- Internal public loans
 - D- Temporary public loans
 - E- B and C

23. The state resorts to external loans due to:
- A- Balance of payments deficit
 - B- Low level of domestic savings
 - C- Need for foreign currencies to carry out economic development
 - D- All of the above
 - E- None of the above
24. These are bonds in which the name of the owner is written, and ownership transfer is not recognized unless the data recorded in the register is changed:
- A- Registered bonds
 - B- Bearer bonds
 - C- Mixed bonds
 - D- All of the above
25. A method of subscription in which the state obtains the loan amount from banks, and then the banks take over the task of selling these bonds to the public:
- A- Public subscription
 - B- Bank subscription
 - C- Stock exchange issuance
 - D- All of the above
 - E- None of the above
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Second: The state budget:

True or False Questions

1. The state general budget is the financial expression of the work program that the government intends to implement to achieve society's goals. ()
2. Classical thought supported extensive government intervention in economic activity. ()
3. In classical thought, the functions of the state include defense, security, and justice. ()
4. The basic functions of the state in classical thought are known as the "Four Widows." ()
5. Classical thought allowed public borrowing on a wide scale. ()
6. Classical economists called for an annually balanced budget. ()
7. Keynesian thought supports government intervention in economic activity. ()
8. Under Keynesian thought, the public budget became an integrated program of policies and plans. ()
9. The public budget aims to achieve the interests of a specific group in society. ()
10. The public budget is approved by the legislative authority. ()

11. After approval, the budget becomes a legally binding law. ()
12. The public budget is prepared for a previous fiscal year. ()
13. The final account contains actual figures. ()
14. The project budget shows the real financial position of the project at a specific moment. ()
15. The public budget is characterized by actual rather than estimated figures. ()
16. One importance of the final account is discovering and studying deviations. ()
17. The legislative authority is responsible for preparing and drafting the public budget. ()
18. The principle of unity means preparing the budget as one integrated unit. ()
19. The principle of universality is one of the general principles of budget preparation. ()
20. Preparing the budget for a period shorter than one year reduces effort and costs. ()

Multiple Choice Questions

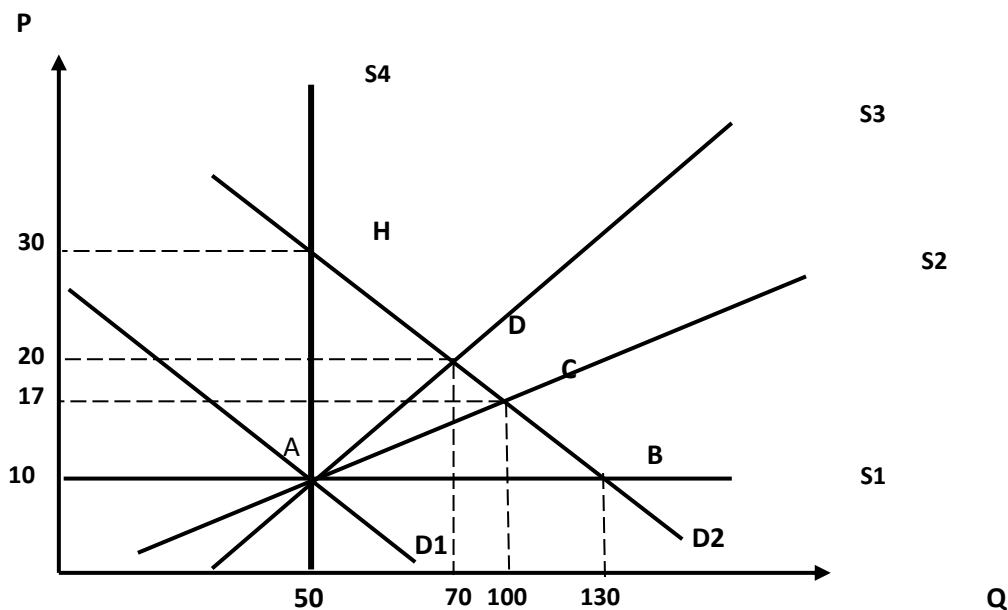
1. The state general budget is:
 - A- A bank statement
 - B- The financial expression of the government work program
 - C- A profit and loss statement
 - D- A record of revenues only
2. Classical thought believes that the role of the state should be:
 - A- Very broad
 - B- Completely absent
 - C- Limited and within the narrowest scope
 - D- Based on complete monopoly
3. One of the functions of the state in classical thought is:
 - A- Foreign trade
 - B- Security and defense
 - C- Managing private companies
 - D- Speculation in markets
4. Classical economists called for:
 - A- Increasing public borrowing
 - B- Budget imbalance
 - C- Annual budget balance
 - D- Increasing public expenditure permanently
5. The school of thought that called for government intervention in economic activity is:
 - A- Classical thought
 - B- Natural thought
 - C- Keynesian thought
 - D- Mercantilist thought

6. Under Keynesian thought, public borrowing became:
 - A- Prohibited
 - B- Permitted
 - C- Illegal
 - D- Unnecessary
7. The public budget is approved by the:
 - A- Judicial authority
 - B- Executive authority
 - C- Legislative authority
 - D- Central bank
8. After approval, the budget becomes:
 - A- A proposal
 - B- A project
 - C- A legally binding law
 - D- A financial report
9. The main reason for choosing one year as the basis for preparing the budget is:
 - A- Reducing the importance of supervision
 - B- Ensuring accurate estimates
 - C- Increasing public expenditure
 - D- Preventing revenues
10. The project budget aims to:
 - A- Achieve society's goals
 - B- Determine the financial position of the project
 - C- Supervise the government
 - D- Draft laws
11. The final account includes:
 - A- Estimated figures
 - B- Future expectations
 - C- Actual figures
 - D- Government proposals
12. One importance of the final account is:
 - A- Eliminating supervision
 - B- Following up the implementation of programs and policies
 - C- Increasing taxes only
 - D- Reducing expenditures permanently
13. The stage of budget preparation is carried out by the:
 - A- Judicial authority
 - B- Executive authority
 - C- Legislative authority
 - D- Parliament only
14. The principle of unity means:
 - A- Preparing more than one budget
 - B- Separating revenues from expenditures

- C- Preparing the budget as one integrated unit
 - D- Eliminating financial supervision
15. The principle of budget balance is mainly associated with:
- A- Keynesian thought
 - B- Socialist thought
 - C- Classical thought
 - D- Modern thought
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Choose (Graphics)

The following diagram illustrates the government's repayment of installments and interest on the public loan. Based on your study of the following diagram, choose the correct answer (from statement 1 to 11):

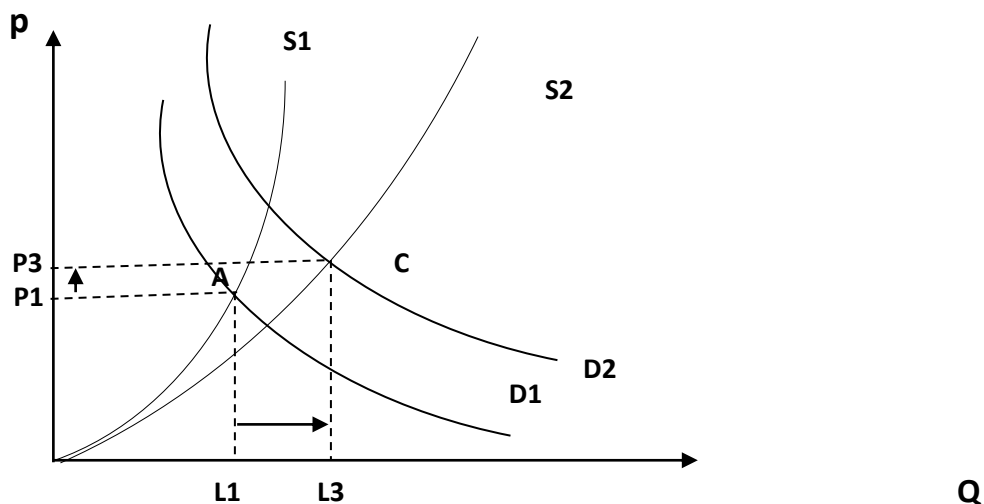


1. The equilibrium quantity and price before paying loan installments and interest respectively are:
 - A- 50, 10
 - B- 50, 30
 - C- 70, 20
 - D- 100, 17
 - E- 130, 10
2. The equilibrium quantity and price after the government pays loan installments and interest when the production system is perfectly inelastic are:

- A- 50, 10
 - B- 50, 30
 - C- 70, 20
 - D- 100, 17
 - E- 130, 10
3. The equilibrium quantity and price after the government pays loan installments and interest when the production system is infinitely elastic are:
- A- 50, 10
 - B- 50, 30
 - C- 70, 20
 - D- 100, 17
 - E- 130, 10
4. The equilibrium quantity and price after the government pays loan installments in the case of production system elasticity are:
- A- 50, 10
 - B- 50, 30
 - C- 70, 20
 - D- 100, 17
 - E- 130, 10
5. The equilibrium quantity and price after the government pays loan installments and interest when the production system is inelastic are:
- A- 50, 10
 - B- 50, 30
 - C- 70, 20
 - D- 100, 17
 - E- 130, 10
6. If the production system is infinitely elastic, the final effect of the loan is:
- A- Net positive
 - B- Net negative
 - C- Positive greater than negative
 - D- Negative greater than positive
 - E- None of the above
7. If the production system is elastic, the final effect is:
- A- Negative effect is less than positive effect
 - B- Negative effect is greater than positive effect
 - C- Positive only
 - D- Negative only
 - E- None of the above
8. If the production system is inelastic, then:
- A- Positive effect is less than negative effect
 - B- Positive effect is less than negative effect
 - C- Positive only

- D- Negative only
E- None of the above
9. If the production system is perfectly inelastic, the final effect is:
A- Negative only
B- Increase in production equals zero
C- 50, 30
D- None of the above
E- All of the above
10. The more elastic the supply curve is, the more the positive impact on the national level:
A- Increases
B- Decreases
C- Equals
D- All of the above
11. The negative effect reaches its maximum when the production system is:
A- Perfectly inelastic
B- Low elasticity
C- Infinitely elastic
D- Highly elastic

The following figure illustrates the economic effects of using real domestic public debt proceeds in developing countries. Based on your study of the following figure, choose the correct answer (from statement 11 to statement 21):



12. Before using the proceeds of the public loan, the equilibrium point, quantity, and price respectively are:
A- Equilibrium point A, quantity L1, and price S1
B- Equilibrium point B, quantity L2, and price S2

- C- Equilibrium point C, quantity L3, and price S3
D- None of the above
- 13.If the proceeds of the loan are used for consumption purposes, the equilibrium point, quantity, and price become:
A- Equilibrium point A, quantity L1, and price S1
B- Equilibrium point B, quantity L2, and price S2
C- Equilibrium point C, quantity L3, and price S3
D- None of the above
- 14.If the proceeds of the loan are used for consumption purposes, the negative effect is:
A- Greater than the positive effect
B- Less than the positive effect
C- Equal to the positive effect
D- Both 1 and 2 together
- 15.If the proceeds of the loan are used for investment purposes, this will lead to:
A- An increase in aggregate demand
B- An increase in the elasticity of the aggregate supply curve
C- Equilibrium point C, quantity L3, and price S3
D- None of the above
E- All of the above
- 16.If the proceeds of the loan are used for investment purposes, the positive effect is:
A- Greater than the negative effect
B- Less than the negative effect
C- Equal to the negative effect
D- None of the above
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Essay Questions

1. Discuss the difference between the State budget and the budget of a project.
 2. Discuss the difference between the state budget and the final account.
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Graphical Questions

1. Illustrate graphically the situation where the state obtains voluntary public loans that the private sector relies on to finance its investments.
2. Illustrate graphically the use of public loans for consumption purposes.